

Core: Business Case

Chapter 1: Strategic Analysis

Chapter Objectives

In this chapter, we will identify the forces that drive projects in the business world by:

- Distinguishing between mission, strategy, and tactics
- Performing a SWOT analysis
- Evaluating the role of I.T. in the value chain of an organization

Strategic Analysis



Introduction to IT Strategy Planning

Organizational Tactics

Discussion: What Does It Mean?



When you hear the following phrases, what do they mean to you in relationship to you?

Corporate mission:

Corporate strategy:



Discussion: Competitive Strategy

- From your perspective, which of the following is the best organizational strategy for a financial services company to deal with competitive forces?

- Low-cost leadership
- Product differentiation
- Create a market niche
- Strengthen customer and supplier intimacy
- Reduce time to market
- Increase innovation

- What are the pros and cons of each strategy?

STRATEGIC ANALYSIS PROJECT CHECKLIST

- ☐ Does the proposed project align with the corporate mission?
- ☐ Does it align with the company's strategies?
- ☐ What is the compelling problem this project solves?
- ☐ Who are the stakeholders who will benefit from this product?
- ☐ What are the benefits of the product?
- ☐ How will product and project benefits be measured?
- ☐ Does the company have the resources to create the solution?
- ☐ What are the risks associated with the product and project?

Brainstorm Business Drivers

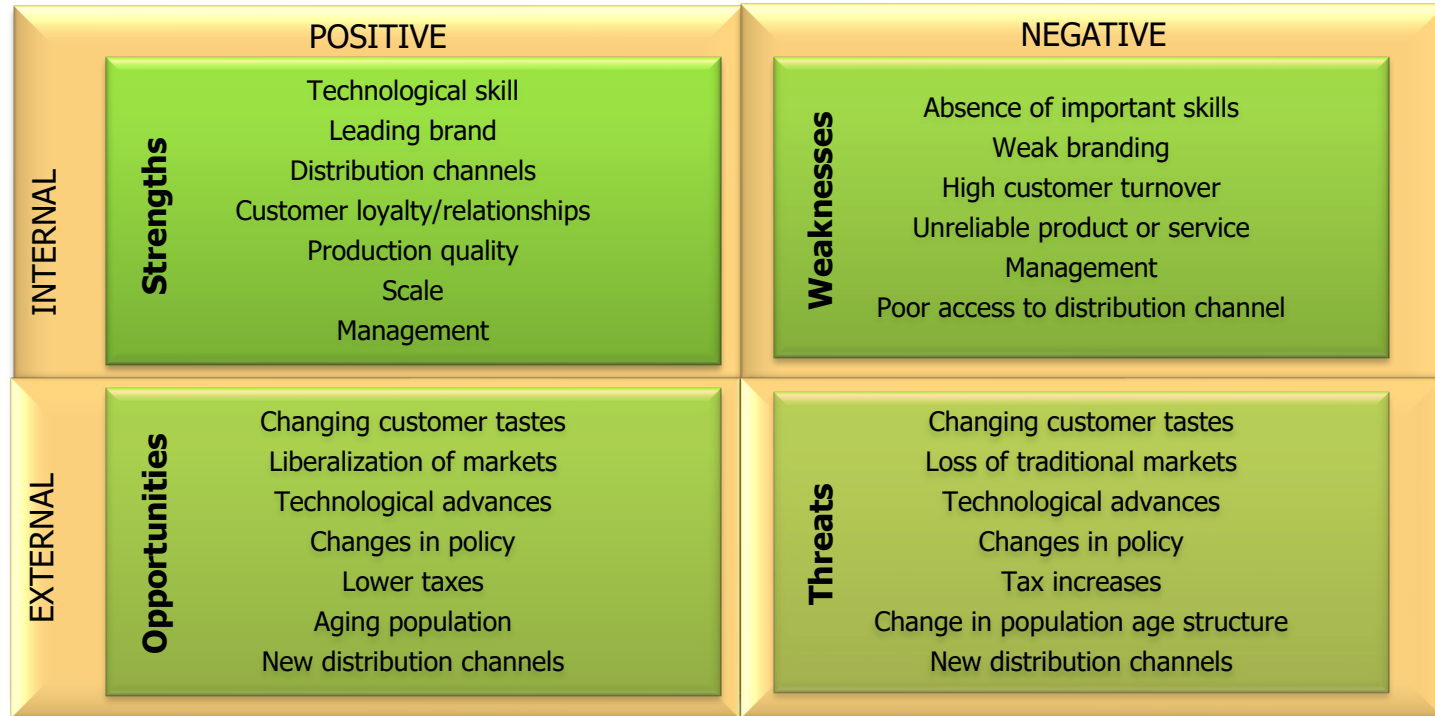
- Every project undertaken by the company has at least one business driver
 - Brainstorm examples of business drivers

Business Drivers

- Every project undertaken by the company has at least one business driver
 - Continued growth focusing on expansion overseas
 - Improved corporate and employee relationships
 - Responsible customer relations through clear and transparent communications
 - Shareholder return and maintaining a viable long-term organization
 - Valid and responsible vendor relationships emphasizing social and environmental criteria
 - Commitment to reducing the corporate environmental footprint
 - Playing a positive role in society
 - Response to regulatory changes
 - Opportunity for profit
 - Opportunity for savings

Strategic Analysis Technique: SWOT

- Use to evaluate a potential project



Activity 1.1: SWOT Analysis



Goal	To apply a strategic analysis technique
Team Format	Teams arranged by the instructor
Materials	Flip chart
Tasks 	1. Given the following scenario: A. Your team is the project steering committee for a popular fast food hamburger company B. The company is considering branching out to serve gourmet and specialty coffee 2. Perform a SWOT analysis for the potential initiative 3. Create a bulleted list for each category 4. Identify action items that would convert A. Weaknesses to Strengths B. Threats to Opportunities
Deliverable	A strategic analysis of a project initiative
Duration	20 minutes

Strategic Analysis

Introduction to IT Strategy Planning



Organizational Tactics

What Are Tactics?



- A pattern of activities and tasks that mirror the strategy
- A conceptual action taken by a unit within the organization
- “Any mode of procedure for gaining advantage or success” [dictionary.com]
- A plan, procedure, or expedient for promoting a desired end or result
- The plans and procedures for setting the tactical plans of the company fall to middle management

Discussion: Strategy or Tactic?



Statement	Strategy	Tactic
1. The Global Technology Board (also known as GTB) – a group of all our CIOs and CTOs – advocates and encourages standardization.	☐	☐
2. Our business is based on developing long-term relationships with our customers based on trust.	☐	☐
3. All proposed projects will be reviewed by the Sarbanes Oxley compliance committee prior to approval of the project charter.	☐	☐
4. Meridian Financial is committed to gradual process improvement (<i>Kaizen</i>).	☐	☐
5. 30% of planned growth will be accomplished by means of acquisition.	☐	☐
6. Meridian Financial will implement a system to allow customers to purchase various types of bonds online without the aid of a broker or agent.	☐	☐
7. Create Meridian Global Advisors as an investment management firm to serve corporate and public retirement funds and non-US investors.	☐	☐
8. Significantly increase our assets under management.	☐	☐
9. Launch the Meridian Financial Conservative Income Bond Fund.	☐	☐
10. Meridian Financial values growth and learning opportunities for employees.	☐	☐

Discussion: Strategy or Tactic? (continued)



Statement	Strategy	Tactic
1. The Global Technology Board (also known as GTB) – a group of all our CIOs and CTOs – advocates and encourages standardization.	☐	☐
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8. Significantly increase our assets under management.	☐	☐
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Strategy vs. Tactics

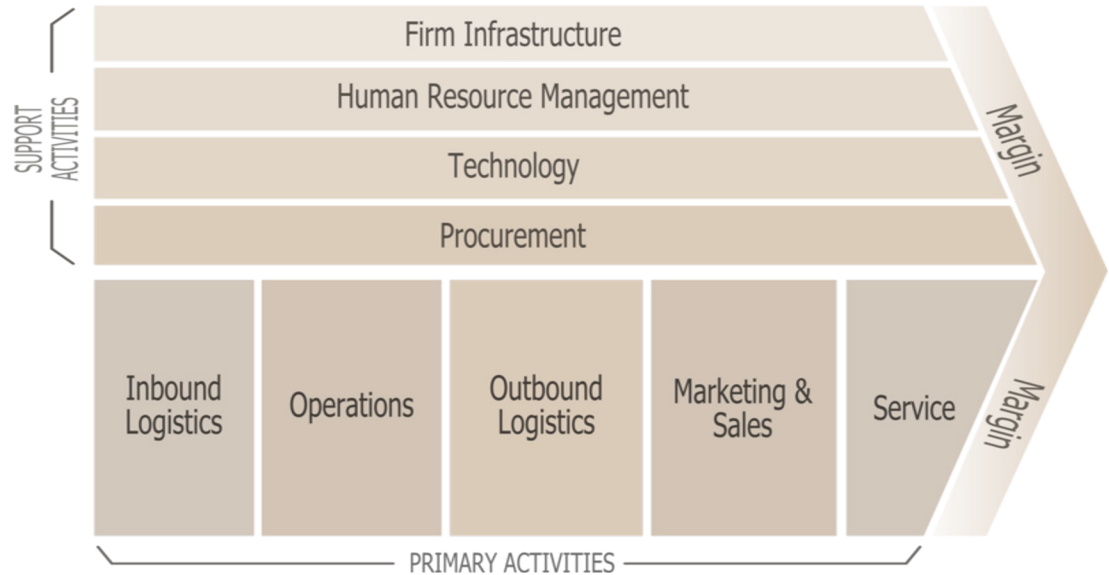
Strategy	Tactics
Central Organizing statement	Day-to-day actions
Spin put on things	Things or tools spun
How to win the war	How to win the battle
Road map for the marketing plan	Vehicles for the trip
Doing the right thing	Doing the things right
Concept	Tools of execution
Organizing glue	What gets glued
Focused	Typically composed of many things
Mental, intangible	Physical, sensory
More art	More craft
An "action" statement: verb	Things: nouns
Decisions made at executive level	Decision made at the mid-level management
Long terms – 5 years and beyond	Short term duration
Very impactful	Narrowly impactful
Capital investment	Operational investment
Personnel changes	Resources allocated
May require corporate mobilization	Department level actions
Derive from competitive stance/environment	Derive from strategic business objectives

Creating Business Value

■ Components of Business Value

- Shareholder Value
- Customer Value
- Employee Value
- Channel Partner Value
- Supplier Value
- Managerial Value
- Societal Value

■ Porter's Value Chain Model provides a framework to understand how an organization creates value from its inputs and outputs



Porter's Value Chain Model

Individual Activity 1.2: Business Value



Goal	To identify the business value of I.T. in a company
Team Format	Individually
Materials	This slide
Tasks	How does I.T. create business value for Meridian Financial?
Deliverable	Be prepared to share your concepts with the class
Duration	5 minutes

Chapter Summary

In this chapter, we have identified the forces that drive projects in the business world by:

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